1.7 INTEREST

MARKING SCHEME

1989/AL/I/20 C	1998/AL/I/26 B	2006/AL/I/11 D (78%)	2016/DSE/I/4 D (45%)
1993/AL/I/28 B	2003/AL/I/24 A	2012/DSE/I/3 D (90%)	2017/DSE/I/2 C (53%)

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1992/AL/I/2
Interest is a price because it is a sacrifice one must make to exchange for an economic good.

It is a price one pays for the earlier availability of goods or a price one pays for earlier over later consumption.

2004/AL/I/5
Disagree. Interest is the price of earlier availability of goods, and without money this price or premium still exists as long as a market (for borrowing and lending) exists. Hence it may be charged in a barter economy.

I loan you an apple, when you return it a year later, our agreement would be you return an apple plus a bite from another apple. That bite is interest. Money is not implied.

PP/DSE/II/1
To Peter: The bookmark was the price / premium he paid for the earlier availability of the book. (2)
To Mary: The bookmark was the compensation she received for deferring consumption. (2)

2025/DSE/II/4(Cross Topic4.1)

(a) Reasons:
- Not durable, as rice may decay within years and cannot be stored for a long time.
- Not homogeneous, as rice does not have uniform physical characteristics.
- Not portable, as people need to carry a large quantity of rice for high-value transactions.
- Any other relevant point

[Mark the FIRST TWO points only.]

2@ max: 4

(b) As a lender, Villager B receives the bag of rice as compensation for deferred consumption. (2)